

CELSIUS HOLDINGS, INC.

(NASDAQ: CELH)

A Great Brand in a Brutal Category — at a Price That Forgets the Category

REDUCE — \$23.00 Target

Equity Research Note · Consumer Staples — Energy Drinks · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Downside	Risk Rating
REDUCE	\$23.00	\$26.75	-14.0%	High

Current price as of October 2, 2026 close.

Snapshot

Market cap	~\$6.9 bn (260M sh × \$26.75)	PepsiCo role	Preferred holder + distribution partner
Senior claims	\$1.76 bn PepsiCo preferred + \$54M net debt	Alani Nu acquisition	Closed 2025; integration in progress
52-week range	~\$23.56 – \$66.74	FCF margin (FY2025)	~12.7% (\$0.32B on \$2.52B)
Revenue / growth	\$2.52 bn FY2025 (+85% YoY, incl. Alani Nu)	Next catalyst	Q3'26 results; Alani Nu synergy delivery
Category	US energy drinks — Monster/Red Bull duopoly		

1 Investment Thesis

Celsius is a genuinely good brand in a genuinely brutal category. The energy-drink aisle is a duopoly — Monster and Red Bull — with a long graveyard of challengers that grew fast, spent faster, and faded. Celsius broke through where others died: functional positioning, a loyal core consumer, and the Alani Nu acquisition, which bought growth and a second brand engine in one move. FY2025 revenue of \$2.52 billion, up 85%, is a real achievement. The stock at \$26.75, off its highs but still rich, is priced as though the breakthrough were the same as the moat. It is not.

Our judgment, and the reason this is a REDUCE with a High risk rating, is that the category economics are the binding constraint on the valuation, not the brand's momentum. Energy drinks are a marketing-spend arms race: slotting, sponsorships, and trade promotion are the price of shelf space, and the duopoly's scale advantages in distribution and media buying are structural. Celsius can grow revenue at 5–8% and still see margins compress if the promotional intensity rises — which is exactly what happens when a challenger reaches scale and the incumbents respond. Our scenarios are \$7.70 / \$22.90 / \$38.48, weighted to a \$23 target, 14.0% below the quote. The base case already assumes the good version: 5.5% revenue CAGR for a decade, mid-cycle FCF margins of 24%, Alani Nu integrated cleanly. Even that good version is worth less than the current price.

The bear case (\$7.70) is the category's base rate for challengers. Growth stalls to 1.2% as the core brand matures and Alani Nu's novelty fades; promotional spend ratchets to defend share; mid-cycle FCF margins settle at 20.5% — still respectable, but on a much smaller revenue base — and the \$1.76 billion PepsiCo preferred plus \$54 million of net debt sits senior to the equity in a downturn. The preferred is the quiet leverage in this story: it does not show up in net-debt screens, but it is a senior claim on a cyclical consumer business. In the bear case, the equity is worth \$7.70 because the senior claims eat first.

The forward view: Celsius will likely be a bigger brand in five years — the category is growing, the functional positioning has legs, and PepsiCo's distribution is a genuine asset. But the stock at \$26.75 is pricing the bull case's 8.3% CAGR and 25% mid-cycle margins as the expected outcome, with no discount for the category's history of destroying

challenger economics at scale. We would own this brand at a price that respects the aisle it fights in. That price is around \$23, not \$27. REDUCE.

Why the brand is real and the price is wrong

- **The breakthrough is real.** \$2.52B revenue (+85% with Alani Nu), a loyal functional-energy consumer, PepsiCo distribution — Celsius did what most challengers never do: reach scale in a duopoly aisle.
- **The aisle is the constraint.** Monster/Red Bull scale advantages in distribution and media are structural; promotional intensity rises as challengers scale. Revenue can grow while economics compress.
- **The preferred is quiet leverage.** \$1.76B of PepsiCo preferred sits senior to the equity — invisible in net-debt screens, decisive in a downturn.
- **The price is the bull case.** Our base case grants 5.5% CAGR and 24% mid-cycle margins and is worth \$22.90. The market at \$26.75 is paying for the bull's 8.3% CAGR — the outcome, not the expectation.

2 Business Overview — What Celsius Holdings Is Doing

(Boca Raton, Florida; CEO John Fieldly)

Celsius Holdings (founded 2004, Boca Raton) makes functional energy drinks — the flagship Celsius brand positioned around fitness and wellness, and Alani Nu (acquired 2025), a fast-growing brand with strong appeal to younger female consumers. Distribution runs through the PepsiCo partnership (which also holds \$1.76 billion of preferred equity), giving the brands national retail reach that an independent challenger could never build alone.

Fiscal 2025 produced revenue of \$2.52 billion, up 85% year over year — the Alani Nu acquisition doing heavy lifting — with free cash flow of \$0.32 billion (12.7% margin). The growth history is explosive: \$0.65B (2022), \$1.32B (2023), \$1.36B (2024), \$2.52B (2025). But the 2024 plateau — revenue essentially flat at \$1.36 billion — is the number the bulls skip: the core brand's growth stalled before Alani Nu arrived, a reminder that energy-drink growth comes in waves, not straight lines.

The forward picture is a two-brand portfolio in a consolidating category. Alani Nu's integration is the near-term execution story: synergy delivery, distribution expansion, and brand investment without cannibalizing Celsius. PepsiCo's role is double-edged — unmatched distribution reach, but a \$1.76 billion senior claim and a partner whose strategic priorities may not always align with Celsius shareholders'. The category grows mid-single-digits; Celsius's job is to take share profitably, which is harder than taking share.

What the company is doing now

- **Celsius: the flagship.** Functional-energy positioning, loyal fitness-adjacent consumer; growth stalled in 2024 before Alani Nu — the wave, not the line.
- **Alani Nu (acquired 2025).** Second brand engine with younger-female appeal; integration and synergy delivery are the near-term execution story.
- **PepsiCo partnership + preferred.** National distribution reach — and a \$1.76B senior claim that eats first in any downturn.
- **The duopoly aisle.** Monster and Red Bull own the category's scale economics; every challenger fights uphill on slotting, sponsorship, and trade spend.

3 Financial Analysis

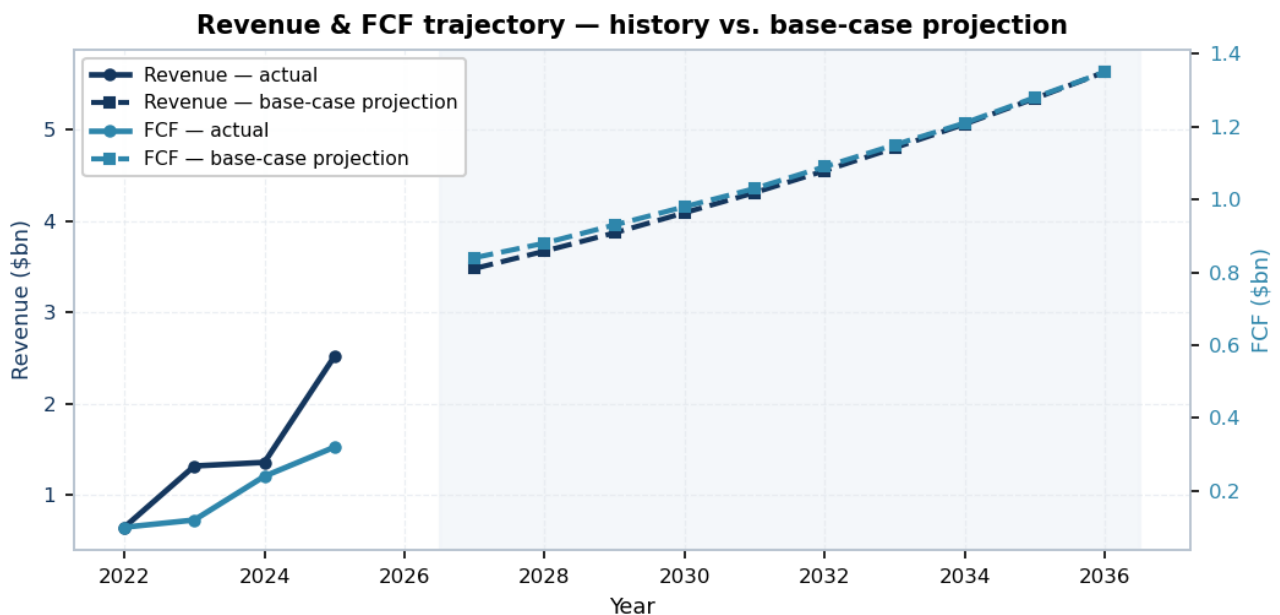
\$ bn	FY2022	FY2023	FY2024	FY2025
Revenue	0.65	1.32	1.36	2.52
YoY growth	—	+103%	+3%	+85%*
Free cash flow	0.10	0.12	0.24	0.32
FCF margin	15.4%	9.1%	17.6%	12.7%

Sources: company filings; annuals via yfinance. *FY2025 includes the Alani Nu acquisition. FY2026E: \$3.3B revenue (model anchor).

The financial history is a step function: revenue \$0.65B → \$1.32B → \$1.36B → \$2.52B (2022–2025), with the 2024 flatline the most informative print — core-brand growth stalled before the acquisition. Free cash flow has been lumpy: \$0.10B, \$0.12B, \$0.24B, \$0.32B, with margins of 15.4%, 9.1%, 17.6%, 12.7%. Our model assumes the business matures into a 24% mid-cycle FCF margin — a heroic assumption that does most of the valuation work, and the assumption we are least sure of.

The capital structure is the hidden risk: \$1.76 billion of PepsiCo preferred plus \$54 million of net debt sits senior to ~260 million common shares. At our \$23 target the equity is worth roughly \$6.0 billion against \$1.8 billion of senior claims — a 3.3x coverage that looks comfortable until growth stalls, at which point the preferred's seniority dominates the downside. This is a High risk rating earned by leverage structure as much as by category cyclicity.

Revenue & cash-flow trajectory

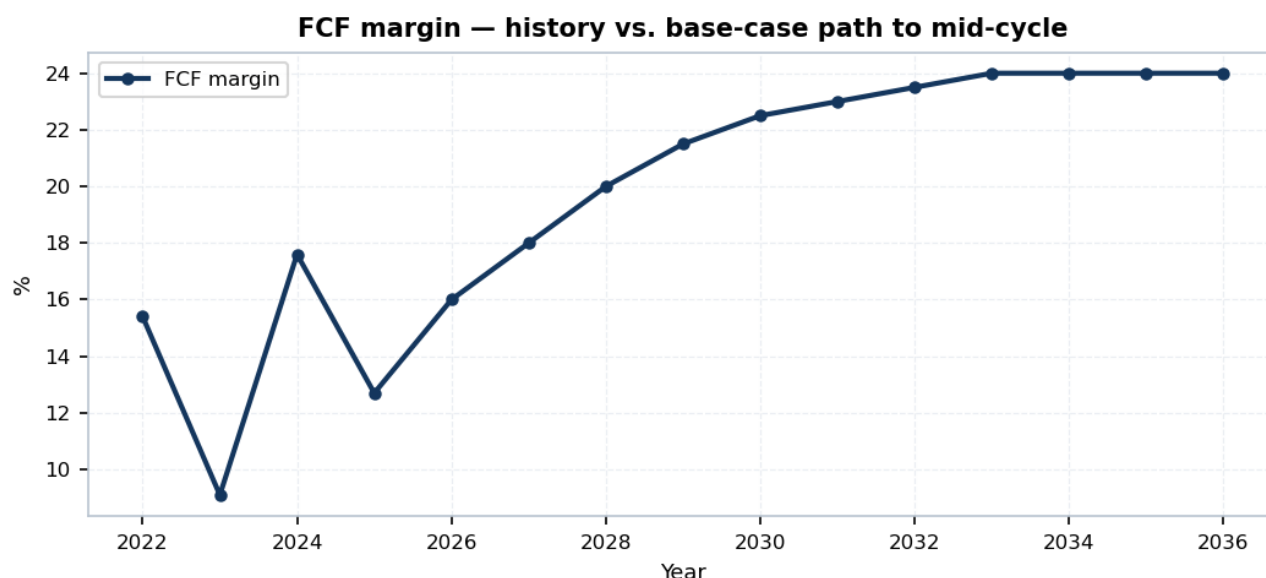


History: company filings via yfinance. Projection: base-case path off the \$3.3B FY2026E revenue anchor (5.5% 10-yr CAGR; FCF margin to a 24% mid-cycle level).

4 Moat & Competition

- **Brand loyalty in a tribal category.** Energy-drink consumers are loyal to the point of identity; Celsius's functional positioning owns a distinct tribe. Alani Nu adds a second one.
- **PepsiCo distribution.** National retail reach that an independent could never build — the structural advantage that makes the scale story possible.
- **The moat's limit is the aisle.** Monster and Red Bull's scale in media buying, slotting, and sponsorship is structural; brand loyalty does not repeal the promotional arms race.
- **The preferred is anti-moat.** \$1.76B of senior claims means equity holders are second in line — the capital structure works against shareholders precisely when the moat is tested.

FCF margin — history vs. base-case path to mid-cycle



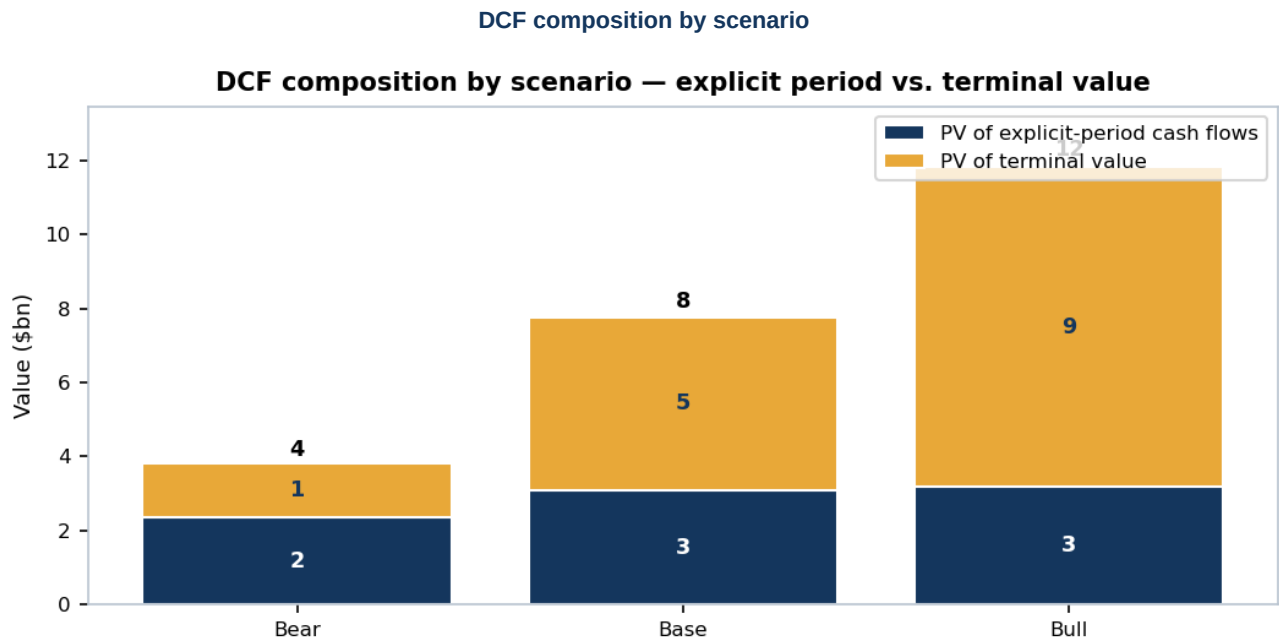
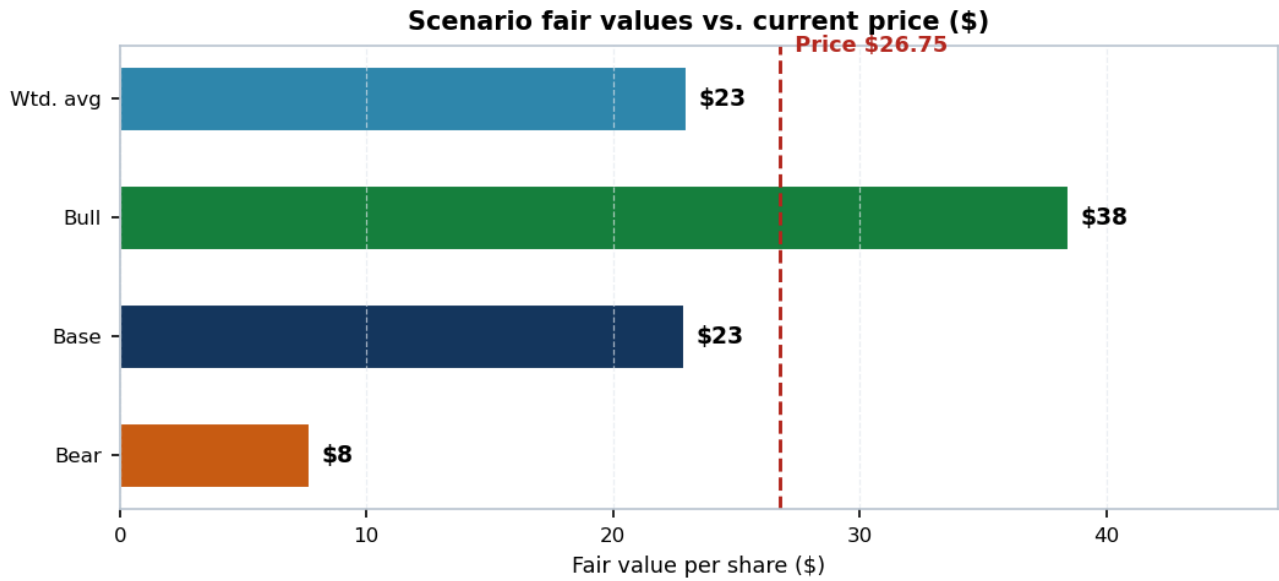
5 Valuation — 10-year scenario DCF (FY2027–FY2036), Fair Value \$23

We value Celsius on a 10-year explicit DCF of free cash flow (FY2027–FY2036), weights bear 25% / base 50% / bull 25%. Scenario discounts: base 12.0% (challenger brand, category cyclicality, customer concentration via PepsiCo), bear 14.5% (base + 250bp), bull 10.5% (base – 150bp). Terminal growth 1.0% / 2.5% / 2.5% on year-10 FCF at the scenario's mid-cycle margin (20.5% / 24% / 25%) — through-cycle levels, never peaks. Revenue CAGRs: bear 1.2%, base 5.5%, bull 8.3%, off a \$3.3B FY2026E anchor. Equity = firm EV – \$1.814B senior claims (\$1.76B PepsiCo preferred + \$54M net debt), over ~260M shares. Terminal value is 39–73% of EV across scenarios (bull 73% reflects the back-loaded growth profile); the composition below is derived analytically from the published scenario parameters — PV of the terminal value computed from year-10 FCF at the mid-cycle margin, with PV-explicit as the residual — since no scenario PV split was published.

Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Bear	The category's base rate for challengers: core brand matures, Alani Nu novelty fades; 1.2% revenue CAGR; promotional spend ratchets; mid-cycle FCF margins 20.5%; the preferred claim dominates a smaller equity value	+1.2%	20.5%	14.5% / 1.0%	39%	\$7.70
Base	The good version: 5.5% revenue CAGR; Alani Nu integrates cleanly; promotional intensity stays rational; mid-cycle FCF margins reach 24%	+5.5%	24%	12.0% / 2.5%	60%	\$22.90
Bull	Economics scale: 8.3% revenue CAGR; the two-brand portfolio takes durable share from the duopoly; 25% mid-cycle FCF margins	+8.3%	25%	10.5% / 2.5%	73%	\$38.48
Wtd. avg	Probability-weighted (25/50/25) → \$23.00 target					\$23.00

$0.25 \times \$7.70 + 0.50 \times \$22.90 + 0.25 \times \$38.48 = \$23.00 \rightarrow \$23 \text{ target}$. Bear meets all hurt conditions (growth stall, margin compression, 25%+ derating). PV splits are derived analytically from the published scenario parameters (see valuation method), not from a published model run.

Scenario fair values vs. current price (\$)



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in \$bn. A heavy terminal-value share means the call rests on the long run, not the forecast window.

6 Risks & Falsification

Key risks

- **Category promotional arms race (the #1 risk).** Scale invites competitive response from Monster/Red Bull; defending share costs margin. Revenue can grow while economics compress.
- **Core-brand stagnation.** 2024's flatline preceded Alani Nu; a second year of stagnation would break the growth narrative.
- **Alani Nu integration.** Synergy delivery, distribution expansion, and brand investment without cannibalizing Celsius — the near-term execution risk.
- **PepsiCo dependence.** Distribution partner and \$1.76B senior claimant; strategic priorities may not align with common shareholders'.

- **Senior claims in a downturn.** \$1.814B of preferred + net debt eats first; the equity's downside is amplified relative to the enterprise value.
- **Valuation.** At \$26.75 the stock prices the bull case — any promotional or integration disappointment reprices toward the base (\$22.90).

What would change our mind

The base case's margin-expansion assumption would be withdrawn if promotional spend rises faster than revenue for two consecutive quarters, or if the core brand posts a second year of stagnation — at that point the bear case (\$7.70) becomes the working assumption. Conversely, Alani Nu synergy delivery ahead of plan with core-brand re-acceleration validates the bull path. Watch Q3'26: Alani Nu integration metrics and the promotional-spend line are the numbers that matter.

7 Methodology

We value the business on a 10-year explicit DCF of free cash flow (bear 25% / base 50% / bull 25%). Revenue follows the scenario path (bear 1.2% / base 5.5% / bull 8.3% 10-year CAGR off a \$3.3B FY2026E anchor); free-cash-flow margin moves to the scenario's mid-cycle margin (20.5% / 24% / 25%) over the horizon. Discount rates: base 12.0%, bear +250bp (14.5%), bull –150bp (10.5%). Terminal growth (1.0% / 2.5% / 2.5%) applies to year-10 FCF at the scenario's mid-cycle margin. Equity = firm EV – \$1.814B senior claims (\$1.76B PepsiCo preferred + \$54M net debt); divided by ~260M shares. The DCF composition chart is derived analytically from these published parameters (PV of terminal value from year-10 FCF; PV-explicit as the residual), since no scenario PV split was published. Bear cases must be genuinely adverse and sit below the current price. The published target is the probability-weighted fair value, stated as a 12-month horizon reference.

Risk ratings (Low / Medium / Medium-High / High) combine business-model volatility, the balance sheet, and the valuation. This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.

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